

All this pressure may put you in a high-anxiety situation. If you are not sleeping at night because you are worried sick about your portfolio and you are on the verge of making an emotional decision to “Sell it all!” then action needs to be taken. Here is what you should do:

1. Look at the amount of income you are getting from your current investments. The income coming from your investments generally does not go down even though prices do. Stocks and bonds continue to pay dividends and interest. When your annual expenses can be covered by the cash flows from dividends, interest, and outside income, it makes it easier to ride out a bear market. This “income reality check” helped a lot of my clients get through the 2008 bear market.
2. If the income reality check does not put you at ease and you are still sick to your stomach about the future of your portfolio, then you have too much stock exposure and need to permanently reduce it. How do you do that? Lower your equity position by 10 percent. For example, if you are at 60 percent stocks, go to 50 percent. If you are at 40 percent stocks, go to 30 percent. A 10 percent reduction in equity usually reduces investor anxiety long enough for the stock market to recover. Once the 10 percent reduction in stock is completed, keep the allocation as is through the bottom of the market and beyond. Don’t go back to the risk level you once had in your portfolio because you may be setting yourself up for another emotional sell during the next bear market. This small reduction will likely have only a small effect on the long-term return of your portfolio and a huge effect on your short-term psyche.
3. If you are still having an emotional reaction after a 10 percent stock reduction in your portfolio, then you still have too much risk. Reduce your portfolio by another 10 percent in equity. This should allow you to think clearly and get past the bear market. Once you get to this level of risk, stay there, even when the market recovers.

By all means, do not sell because you are experiencing panic if you cannot stand the heat anymore. Emotional investing is a lose-lose-lose proposition. Panic sellers almost always capitulate near a market bottom in prices, and then they lose again when they don’t get back in during the